

24CV03660 Erin O'Brien v. Santa Barbara Cottage Hospital, et al.

County: santa-barbara

Division: Civil Law & Motion

Department: 3 SB-Anacapa

Hearing date: 2026-06-03

Motion: Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement

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Tentative Ruling: Erin O'Brien v. Santa Barbara Cottage Hospital, et al.

Case Number

24CV03660

Case Type

Civil Law & Motion

Hearing Date / Time

Wed, 06/03/2026 - 10:00

Nature of Proceedings

Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement

Tentative Ruling

For Plaintiff Erin O'Brien: Marcus J. Bradley, Kiley L. Grombacher, Bradley Grombacher LLP

For Defendants Santa Barbara Cottage Hospital, Santa Ynez Valley Cottage Hospital, and Goleta Valley Cottage Hospital:
Daniel J. McQueen, Brett D. Young, Arentfox Schiff LLP

RULING

For the reasons stated herein, the motion of plaintiff for preliminary approval of class action and PAGA settlement is granted.

The court has reviewed the proposed order submitted with the motion and intends on signing the same. The relevant terms include:

Preliminary approval of the settlement set forth in the Class Action and PAGA Settlement Agreement is granted;

The proposed settlement class is conditionally certified;

Plaintiff Erin O'Brien is provisionally appointed as the representative of the settlement class;

Bradley Grombacher LLP is provisionally appointed as class counsel;

Distribution of the proposed notice of class action settlement to the settlement class is approved;

ILYM Group, Inc. is provisionally appointed as the third-party settlement administrator;

A hearing on Final Approval of Settlement is set for December 4, 2026, at 10:00 a.m. in Department 3.

All documents related to the final approval, fees, costs, and enhancement award, shall be filed no later than 16 court days prior to the final approval hearing date.

Background

The first amended complaint (FAC) filed in this action by plaintiff Erin O'Brien, individually and on behalf of other individuals similarly situated, against defendants Santa Barbara Cottage Hospital, Santa Ynez Valley Cottage Hospital, and Goleta Valley Cottage Hospital, alleges that from approximately February 2018, through the present, she was employed as a Clinical Nurse II by defendants, as an hourly, non-exempt employee in Santa Barbara, California. From February 2018, through December 2019, plaintiff worked as a full-time Clinical Nurse II. From January 2020, through December 2022, plaintiff worked as a full-time Clinical Resource Nurse. From January 2023, through the present, plaintiff worked as a part-time Clinical Resource Nurse.

Plaintiff alleges that Defendants failed to pay plaintiff overtime wages, minimum and overtime wages, to provide or pay for missed meal and rest periods, to provide complete and accurate wage statements reflecting the total number of hours worked by plaintiff, to keep complete and accurate payroll records, and to reimburse plaintiff for necessary business related expenses.

On October 25, 2024, defendants answered the FAC with a general denial and 24 affirmative defenses.

On April 24, 2026, plaintiff filed the present unopposed motion for an order granting preliminary approval class action and PAGA. Plaintiff seeks an order: (1) granting preliminary approval of the proposed settlement, (2) conditionally certifying the class, (3) preliminarily approving plaintiff as the class representative of the settlement class, (4) preliminarily approving plaintiff's counsel as class counsel for the settlement class, (5) preliminarily approving ILYM Group, Inc. as the settlement administrator and preliminarily approving the costs of the settlement administration, (6) approving as to form and ordering that the notice of settlement be given to the class, and (7) Setting a hearing on final approval.

The motion is unopposed.

Analysis

The purpose of the preliminary approval hearing is to determine whether the settlement is within the range of reasonableness for preliminary approval and to approve or deny certification of a provisional settlement class. A full inquiry into the fairness of the proposed settlement occurs at the final approval hearing. (Rules of Court, rule 3.769, subd. (g).)

“‘The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement.’” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 129.) The court has broad discretion to determine whether the settlement is fair. (Dunk v. Ford Motor Co.) (1996) 48 Cal.App.4th 1794, 1801.) “The well-recognized factors that the trial court should consider in evaluating the reasonableness of a class action settlement agreement include ‘the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.’ [Citations.] This list ‘is not exhaustive and should be tailored to each case.’ [Citation.]” (Kullar v. Foot Locker Retail, Inc., supra, 168 Cal.App.4th at p. 128.)

A PAGA action is a type of qui tam action, in which a private party is authorized to bring an action to recover a penalty on behalf of the government and receive part of the recovery as compensation. (Huff v. Securitas Sec. Servs. USA, Inc. (2018) 23 Cal.App.5th 745, 753.) In doing so, the employee acts as proxy for the state labor law enforcement agency; the proceeding is designed to protect the public, not to benefit private parties. (Amalgamated Transit Union, Local 1756, AFL-CIO v. Superior Court (2009) 46 Cal.4th 993, 1003.) The dispute is between the employer and the state. (Kim v. Reins International California, Inc. (2020) 9 Cal.5th 73, 81.) The purpose of PAGA is not to recover damages, restitution, or redress the employees’ injuries, but to recover civil penalties to remediate present violations and deter future ones. (Id. at p. 86.) While a PAGA case is representative in nature, it is not a class action and may be brought without the procedural requirements involved in class actions.

“Except as provided in subdivision (n), civil penalties recovered by aggrieved employees shall be distributed as follows: 65 percent to the Labor and Workforce Development Agency for enforcement of labor laws, including the administration of this part, and for education of employers and employees about their rights and responsibilities under this code, to be continuously appropriated to supplement and not supplant the funding to the agency for those purposes; and 35 percent to the aggrieved employees.” (Lab. Code, § 2699, subd. (m).)

On January 15, 2026, the parties participated in mediation with Jeffrey Fuchsman and agreed to settlement terms. (Bradley decl., ¶ 11.) On March 10, 2026, after extensive discussions and multiple revisions to the settlement agreement, the parties entered into a fully executed settlement agreement. (Bradley decl., ¶ 12 & Exh. 1.)

Pursuant to the executed agreement, the parties stipulate to settlement of the class action and PAGA claims, including the following terms:

The Class Period means the period from November 10, 2022, through April 15, 2026. (Agreement, ¶ 5.) The PAGA Period means the period from July 1, 2023, to April 15, 2026. (Agreement, ¶ 16.) “Class Members” or “Settlement Class” means all persons who worked for defendants in California as non-exempt employees during the Class Period. (Agreement, ¶ 5.) “PAGA Members” means all persons who worked for defendants in California as non-exempt employees during the PAGA Period. (Agreement, ¶ 16.)

The Class consists of approximately 4,464 Class Members who collectively worked an estimated total of 532,442 workweeks. (Bradley decl., ¶ 15.)

The non-revisionary gross settlement amount is \$250,000.00 and is inclusive of payments to the class, class counsels’ fees, class counsels’ costs, settlement administration costs, representative enhancement payment to plaintiff, and payment of

PAGA penalties. (Agreement, ¶ 12.)

The parties agreed to the following payments from the gross settlement amount:

An "Enhancement Payment" to O'Brien of \$10,000.00 (Agreement, ¶ 32.);

Attorneys' Fees of not more than \$83,333.33 (one-third of the gross settlement), and legal costs of not more than \$20,000.00 (Agreement, ¶ 31.);

Settlement Administration Costs estimated to be \$26,650.00 to ILYM Group, Inc. (ILYM) (Agreement, ¶ 33.);

PAGA penalties in the amount of \$25,000.00 to be paid 65 percent to the LWDA and 35 percent to the individual PAGA members. (Agreement, ¶ 34.)

Twenty percent of each participating class member's individual class payment will be allocated to settlement of wage claims, which are subject to tax withholding and will be reported on an IRS W-2 Form. (Agreement, ¶ 58.) Eighty percent of each participating class member's individual class payment will be allocated as non-wages, which are not subject to wage withholdings and will be reported on IRS 1099 Forms. (Agreement, ¶ 58.)

Within 20 calendar days of the court granting preliminary approval of the settlement, defendants will deliver the Class List to ILYM and to class counsel. (Agreement, ¶ 41.)

The Court has carefully analyzed the terms of the settlement, including the risks involved, the nature and scope of the release it requires of absent class members, the qualifications of class counsel, and the representative plaintiff. The Court finds, generally, that the agreement is within the range of acceptable settlements.

Substantial investigation and discovery was conducted, giving rise to an informed settlement considering the risks of further litigating the action through trial. The case involves experienced class counsel, who believe the settlement is fair, reasonable, and in the best interests of the class members. The settlement was achieved through extensive arms-length negotiations and was not collusive.

The proposed Notice of Proposed Settlement of Class Action and Hearing Date for Final Court Approval is attached as Exhibit A to the agreement.

"If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (Cal. Rules of Court, rule 3.769(f).)

" ' "The principal purpose of notice to the class is the protection of the integrity of the class action process. . . ." ' " [Citation.] " 'The notice ' " 'must fairly apprise the class members of the terms of the proposed compromise and of the options open to the dissenting class members.' " ' " [Citation.] A class action settlement notice should present information neutrally, simply, and understandably. The notice should allow class members to evaluate a proposed settlement. Notice should describe the formula or plan for computing individual settlement class member recoveries." (Duran v. Obesity Research Institute, LLC (2016) 1 Cal.App.5th 635, 644.)

The Notice of Proposed Settlement of Class Action and Hearing Date for Final Court Approval is sufficient and complies with all applicable requirements.

The motion asks the court for an order provisionally certifying the settlement class. The class is ascertainable from defendants' records and is so numerous that joinder of all members is impracticable. There are questions of law or fact common to the proposed class, and there is a well-defined community of interest among its members with respect to the subject matter of the litigation.

It appears to the court that the claims of the class representative are typical of the claims of the members of the proposed class, and that she is positioned to fairly and adequately protect the interests of the class members. It also appears to the court that proposed class counsel is experienced and qualified in wage and hour class litigation and will properly and adequately represent the interests of the absent class.

The court further finds that the PAGA claim class is appropriate and the terms of the PAGA settlement are, generally, fair and reasonable.

The motion for preliminary approval will be granted.

Judges

Judge Thomas Anderle

Dept. 3 SB-Anacapa

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